Credit Cards

Definition: A **credit card** is a payment card issued to users (cardholders) to enabling him to pay for goods and services based on the cardholder's promising the card issuer to pay him the amounts paid plus the other agreed charges.

They are primarily used for short-term financing, and borrowing limits are pre-set according to the individual's credit rating.

The Benefits of a Credit Card

- Designed for purchasing goods and services in retail stores or online.
- Can be used for balance transfers or cash withdrawals.
- Accepted worldwide, making them convenient for use both domestically and internationally.

Types of Credit Cards

1. Prepaid Credit Cards (Covered)

- Require the cardholder to load funds onto the card prior to use.
- Purchases are deducted directly from the card's available balance.
- The spending limit is not renewed until additional funds are loaded.

Ruling on Covered Cards: It is permissible to use them in transactions because they are functionally equivalent to paying in cash and involve no loan (*qard*).

What is the ruling on purchasing gold, silver, or currencies using this card?

2. Charge Cards (Non-Covered)

An instrument issued by a bank to a cardholder under a contract that enables the cardholder to purchase goods or services from a merchant without immediate payment. The issuer commits to paying the merchant on the cardholder's behalf, and the cardholder is subsequently obliged to settle the balance by a specified deadline.

Types of Charge Cards:

- a) Instant Credit (Charge Card): The balance must be paid in full by the due date (e.g., within 40 days). No extra charges apply unless payment is delayed. The credit limit is not restored until the balance is fully settled.
- b) Revolving Credit (Renewed Credit): Allows repayment in installments subject to interest. The credit limit is renewed as long as ongoing payments are maintained.

Parties Involved in a Credit Card Transaction

- The Cardholder
- The Card Issuer (the client's bank)
- The Global Card Organization (e.g., Visa, Mastercard)
- The Merchant (the seller accepting the card)
- The Merchant's Bank (Acquirer)

Transaction Steps

1. The cardholder makes a purchase at a store and presents the card to the seller.
2. The merchant records the card details and the transaction amount, then provides a receipt to the cardholder.
3. The merchant compiles the month's receipts and submits them to their bank.
4. The merchant's bank requests a clearance settlement through the global card organization with the issuing bank.
5. The issuing bank transfers the funds (typically converted into US dollars) to the global organization at the applicable exchange rate.
6. The global organization disburses the funds to the merchant's bank.
7. The issuing bank collects the owed funds from the cardholder.

Rules of Credit Cards in Islamic Jurisprudence

It is permissible to use credit cards provided they are free from elements prohibited by Shariah, which include:

1. Stipulating a penalty or extra financial charge for payment delays (late fees).
2. Charging more than the actual administrative cost for cash withdrawals.
3. Revolving credit cards, which are not permitted because they involve interest (*riba*) on deferred payments.

The Fiqh Council issued a statement in 2000 no. 108 (1/12) concerning uncovered credit cards and the ruling on the fees charged by the bank. There follows the text of the statement:

With reference to the Council's statement during its tenth conference no. 102/4/10, on the topic of uncovered credit cards, and referring to the definition of credit cards in its statement no. 63/1/7, The Council has determined the following:

1- It is not permissible to issue non-covered credit cards or to use them, if it is stipulated that riba or interest be paid, even if the one who requests the card is determined to pay it off within the free grace period.

2-: It is permissible to issue non-covered credit cards so long as they do not include conditions stipulating that riba or interest be paid on the debt.

From that we have deduced the following:

(a) It is permissible for the issuer to charge the cardholder set **fees when issuing** or renewing the card, on the basis of the real cost of the services offered.

(b) It is permissible for the issuing bank to take **commission** from the business on the cardholder's purchases, so long as the business sells it for the same price as transactions for cash.

3-: **Cash withdrawals** made by the cardholder are a loan from the issuer. There is nothing Islamically wrong with that as long as it does not lead to interest charges and the set fees are not regarded as interest, which has nothing to do with the amount of the loan or the length of the loan period. Anything more than the actual cost of services is haram because it is riba which is forbidden in sharee'ah, as was stated by the Council in its resolution no. 13 (10/2) and 13 (1/3).

4-: It is not permissible to buy **gold and silver or currencies** with the uncovered credit card, because of the delayed payment

Secondly:

If the credit card is of a permissible type that is free of haraam matters, then there is nothing wrong with you working to market it. But if it is of the haraam type, then it is not permissible for you to work in this job, because that helps in sin and transgression.

And the Messenger of Allah (peace and blessings of Allah be upon him) cursed those who record and witness riba, as Muslim (1598) narrated from Jaabir (may Allah be pleased with him) who said: The Messenger of Allah peace and blessings of Allah be upon him: (cursed the one who consumes riba and the one who pays it, the one who writes it down and the two who witness it, and he said: they are all the same).